

The
ULTIMATE BLUEPRINT
FOR AN INSANELY
SUCCESSFUL
BUSINESS



Great Operators GET TIRED.
Great Business Owners GET RICH!

KEITH J. CUNNINGHAM

"Here is what I will tell you: If you master the information in this book, your chances of business and financial success increase dramatically. If you don't master it, your chances of frustration and failure are guaranteed."

Keith J. Cunningham

***"The Ultimate Blueprint
for an
Insanely Successful Business"***

For more information, visit
www.KeystotheVault.com
www.CFOScoreboard.com

KEYSTO-THE-VAULT

PO Box 30527
Austin, Texas 78755
Phone: 512.231.9944
Email: info@KeystotheVault.com

A Message from Keith

“How do I get big so I can get rich?”

This one question is the silent saboteur of small businesses.

A better question would be: “What did the big guys do that caused the Profits and Cash Flow that allowed them to get big?”

The answer is not just one thing. Business is complex and anyone who says it isn't is either stupid or is trying to sell you their flavor-of-the-month Kool-Aid.

Business owners struggle financially because they are too busy “growing and operating” the business and not running the business-end of the business. It's not that they don't want to... It's that no one ever taught them how.

As Warren Buffett said, “If you can’t read the scoreboard, you don’t know the score. If you don’t know the score, you can’t tell the winners from the losers.”

Always remember this: You cannot create and sustain business success without business skills and tools. When you learn the tools that work, you get the results that are possible.

Here it is on a bumper sticker:

Great operators get tired. Great business owners get rich!

A handwritten signature in black ink, which appears to be "Warren Buffett". The signature is fluid and cursive, with a long horizontal stroke at the end.

The following 24 Blueprint Strategies are a few of the critical drivers required for an Insanely Successful Business.

-
1. There are very few lousy businesses, but there are a ton of lousy business owners. Don't believe me? Look at your industry and count the number of competitors knocking the cover off the ball. Same industry... similar product... different management.

Where are your business skills lacking?

2. Thinking Time and Measuring Time are the two highest forms of leverage. Look for problems before they arise, be skeptical about what could go right. Face reality by consistently measuring. Find the root cause that produced the poor results and build a machine that will change it.

3. Business is an intellectual sport. The book is called, **THINK** and Grow Rich. The only constant in business is change. If you do what you've always done, you will fail.

When is the last time you scheduled some serious Thinking Time?

-
- 4.** Thinking Time is a core leverage tool you must add to your business tool belt. My experience is: The key to getting rich is to avoid doing stupid things. All stupid mistakes are a result of faulty assumptions. Faulty assumptions are just another way of saying it was a good idea at the time. So, all my problems started out as a good idea.... How about you? Don't believe me?

How much money would you have right now if you hadn't thrown it away on bad investments and ill-conceived, looking good, impulsive, instant gratification expenditures (all good ideas at the time)?

- 5.** What gets measured is what gets done.
What gets measured is what gets managed.
What gets measured and reported improves exponentially.

What are you measuring and how are you being held accountable?

-
- 6.** To create the results you desire:
- Get clear (measure) on where you are.
 - Decide what is non-negotiable (goal).
 - Identify the root problem (cause) blocking this progress (and make it intolerable).
 - Build a machine that addresses the problem (execute the change) and measure your progress.

Are you using this formula to create the results you want?

- 7.** The best in the world at what they do are measuring freaks. Warren Buffett, like all masters, understands that the slightest numerical variation can mean the difference between stupendous success and catastrophic failure.

Do you know what to measure? Do you know what to change when you do measure?

-
8. Consider this sequence:
- Management makes Decisions.
 - Decisions get converted into Activities
 - Activities become Results.

In other words:

Lousy Management = Bad Results

What new business skills and tools do you need to learn?

9. Gorging yourself on growth rarely solves financial problems. Worshipping at the altar of getting big as fast as possible is little more than business pornography. It's exciting to think about, but when you're done looking, the results are rarely equal to the stimulation. The goal is to get rich, not get big and the way to get rich and stay rich is to maximize the profits and cash flow your business generates. I'll say it another way: getting big is the result of success. Success is not the result of getting big.

Do you know what to do to maximize profits and cash flow?

10. The goal of business is profitable sustainability, not size. No one wants to be big (or rich) for a week. You can't sustain something unless you know what's working and what isn't... and the only way to know for sure is to:

- Measure your progress and results.
- Identify, correct and improve the activities that are causing those results.
- Measure your progress and results.
- Identify, correct and improve the activities that are causing those results.
- Measure your... You get the idea.

An addiction to big, luck and “hopium” are not strategies.

What are your addictions?

-
- 11.** Business and financial analysis are to business owners what blood tests and MRIs are to doctors. Sustainability requires looking under the hood to locate the silent but deadly killers that will sabotage you every time.

How much is slipping through the cracks in your business?

- 12.** Business, like every other activity, has a language. The language of business is accounting... not the debit and credit stuff... but rather what's going on with the three accounting report cards, how they fit together, what they mean, and how to use them to figure out what needs to change. If you can't speak the language, you can't play the game.

Do you speak the language of business? Isn't it about time you learned?

-
- 13.** Accounting is the process of converting activities into numbers and placing them on a financial report card. **Business & Financial Analysis** is the process of converting the numbers on the financial report card back into activities. Change the activities, change the numbers.

Can you look at your numbers and know which activities must change?

- 14.** Change the activities, change the results. Financial analysis is about reverse engineering the numbers to find the activities causing the offensive results. You cannot change the numbers without first changing the activities that caused the numbers.

Do you know how to drive your profits and cash flow?

15. Business is a game. Like any game, there are winners and losers. There is fierce competition and a set of rules. There are bad moves, good moves, and better moves. Strategy is critical. Execution is paramount. And, of course, there are scoreboards. Name one competitive sport, in which you play the game hoping to win, and you never glance at the scoreboard—and if you do, you don't have a clue as to what it says. Can you imagine a Super Bowl where the scoreboard stops functioning moments before kickoff, and the announcer says, "Don't worry about it...no one looks at it anyway?" And yet, that's how most people play the game of business. No wonder 90 percent of all businesses fail and the vast majority of the balance struggle to survive!

Can you read your scoreboard? Who's winning?

16. It doesn't do any good to get the numbers and then not know:

- What they mean.
- What needs to be measured.
- How to measure.
- Which numbers are important.
- How to change the numbers.
- Which levers to pull to improve your results.

Did you know you could master the numbers in only two days? That is what I call a competitive advantage!

17. Controlling expenses is always the low hanging fruit for driving and maximizing the profits and cash flow of any business.

Do you know what to do and where to look to increase your profits by 50% in the next 90 days? I do.

-
- 18.** A single column of numbers on an income statement is meaningless! Business and financial intelligence starts with multiple points of comparison over numerous time periods. These comparisons **MUST** be on a single piece of paper or spread sheet to be useful. Comparing this month to last month is a pretty good comparison. But it's even better to compare this month to last month to the month before. And even better than that would be to compare this month to last month to each of the *six* months before that.

How many points of comparison do you have?

(Our Trend Analysis Worksheet is just what the doctor ordered! Contact us at:

info@keystothevault.com for more information regarding this great tool.)

-
- 19.** A key to business analysis is to present your detailed income statement (for multiple time periods) in 4 different formats:
1. Your currency.
 2. Average your prior annual results so they are comparable with your current monthly results.
 3. "Common Size" your numbers so that the income statement is expressed in percentage of sales.
 4. Recast the income statement for a "dollars" per unit sold or serviced.

How many of these tools are you using? Our Trend Analysis Worksheet uses them all.

20. The Ultimate Blueprint for an Insanely Successful Business:

ASSETS ➡ SALES ➡ PROFIT ➡ CASH FLOW

- *Effectively* convert assets (physical and/or people) into sales.
- *Efficiently* convert sales into profits.
- *Productively* convert profits into cash flow.

Here is a hint: Not all cash is created equal!

Do you know what to measure to make sure you optimize your financial performance and create an insanely successful business?

21. Overspending on assets is fatal. The instant you make this mistake, you are setting yourself up for failure. You cannot successfully create a sustainable business or optimize your financial performance by pimping on your assets.

How much pimping have you done?

22. If you are unhappy with your cash flow, you have a total of 5 levers you can pull.

Your **income statement** drives the first two:

1. Sell more.
2. Spend less.

And your **balance sheet** drives the last three:

3. Reduce accounts receivable.
4. Reduce inventory.
5. Increase accounts payables.

Do you know exactly what to do to maximize your cash flow every month, every quarter, every year?

-
- 23.** Have one set of books that is an accurate reflection of the true business results without a bunch of personal ya-ya stuff padded in. Have another set of books for the taxman. Minimize the comingling of personal expenses with your business' financial results during the year.

How can you measure and see the true financial progress of your business if a ton of personal expenses are buried in the numbers? You wouldn't fly an airplane with faulty dials, would you?

- 24.** You have two options when it comes to the accounting methodology you use for your business. One is right, the other is dead wrong! Cash accounting is a HUGE mistake (and sadly, the most commonly used by most small business owners). Accrual accounting is the correct and **only** way to keep score if you expect to measure your true progress.

About Keith

American entrepreneur, international speaker, and acclaimed author, Keith J. Cunningham is regarded as one of the foremost authorities and teachers on business mastery. With more than forty-five years of business and investing experience, Keith has taught critical business skills to thousands of top executives, business owners and entrepreneurs around the world.

In Keith's Keys to the Vault® Business School, he has created curriculum designed to accelerate your learning as well as your financial performance and success. Through his Board of Directors program, he serves as Chairman of the Board for businesses in a wide range of industries.

Keith is also the author of *Keys to the Vault: Lessons from the Pros on Raising Money and Igniting Your Business* and *The Road Less Stupid: Advice from the Chairman of the Board – Avoiding the Dumb Mistakes that Sabotage Growth, Profits and Business Success*.

Keith is married to Sandi and they reside in Austin, Texas.

GROWTH OPPORTUNITIES: WHAT WE CAN DO FOR YOU

The Trend Analysis Worksheet

Start using it today and you will be stunned at the clarity and optics you will have about your numbers! Not only is the Trend Analysis Worksheet totally customizable for your income statement and chart of accounts, but it will perform all of the math for averages, common size and dollars per unit. The Trend Analysis Worksheet also includes a balance sheet comparison tool as well as a rolling 13 week, cash flow budgeting worksheet.

Check it out.... It is game changing!

For more information or to purchase the Trend Analysis, please email info@keystothevault.com or call us at 512-231-9944.



The CFO Scoreboard

The single most powerful business and measurement tool I have ever seen... it does for you what blood tests and MRIs do for doctors... allowing you to look under the hood to find the real problems that are silently sabotaging your business. It does all the math and all the calculations, converts all your accounting report cards into plain English, organizes the information in an efficient way, calculates the 43 most important KPIs on your business every month, every quarter, every year, diagnoses the core problem areas where the trend is going the wrong direction, highlights these problem areas in **red** and suggests strategies to implement to immediately correct the problem. This is the tool for non-accounting, non-financial business owners who require a serious competitive advantage.

www.CFOScoreboard.com

• **4-Day MBA®:** A four-day classroom course in which I answer the most frequent question I receive when traveling around the world speaking and teaching on business: “Keith, how do I grow my business and make more money?” Regardless of where I speak, business owners tell me they feel like they have a job, not a business. They feel like their business is running them, when they should be running their business. In the 4-Day MBA®, you will learn the most critical skills and tools required to run the business end of your business, the skills to grow from “operator” to “owner,” and how to convert your “job” into a business that has lasting value. A critical part of owner skills is financial literacy and mastering the fundamentals of financial statements, financial statement analysis, and business optics. At the end of the second day, I will hand out the financial statements of a disguised Fortune 100 company and, by looking only at the numbers, you will be able to decide if you do or don’t want to own the stock. And you’ll be right.

• **How to Buy (or Exit) a Business®:** A four-day classroom program that is exceptionally powerful. Many people would like to own a business but want to avoid the hard work, uncertainty, and risk associated with a start-up. Many existing business owners would like to expand via acquisition, as it is usually easier and less expensive to buy a customer than it is to win them over. Knowing how to find good companies for sale, how to locate and work with a broker, what specific questions to ask the seller and how to earn the seller's confidence, how to evaluate, how to perform the due diligence, how to value the business, how to raise the money, and how to structure the deal and calculate the purchase price are all included. Students receive a comprehensive how-to reference manual, in addition to working on real-life examples in the classroom. Creating a valuable business that you can exit is the flip side of buying a business. The four critical business strategies you learn at How to Buy (or Exit) a Business are:

1. Optimizing your exitability.

-
2. Maximizing your exit value.
 3. Growth by acquisition.
 4. Acquisition/selling skills and tool belt.

- **Plan or Get Slaughtered®:** A two-day classroom program that focuses exclusively on successfully driving revenue. Most business owners have had the experience of hitting an invisible ceiling on top-line growth. You have a goal of increasing revenue by 10 or 25 or 50 percent, but you don't have an actual plan to produce the desired growth. This course teaches the strategic and tactical growth strategies required to achieve this growth and gives you actual classroom time to do the critical thinking to create that plan.

- **Board of Directors:** As business owners, we tend to be astonishingly optimistic in our thinking and planning. We rarely question our assumptions, nor do we have experienced business advisers watching our progress or providing us with feedback. As a result, we commit the most fatal of mistakes: running in the wrong direction enthusiastically.

The Board of Directors is an exclusive (by invitation only) twelve-month program in which fifteen entrepreneurs and business owners—who are actually in business, have revenue, and are “doing it”—meet with me three to four times per year for two or three days per meeting. I serve as chairman of the Board. As a Board member, you have access to me for additional support, as needed, during the Board year. Having a Board of Directors who will advise, counsel, direct, set strategic direction, monitor execution and accountability, review monthly and quarterly financial statements, review your annual plan, and provide optics—both opportunities and icebergs—is critical if you expect to achieve the goals of your business and generate new strategies to build, grow, market, expand, and diversify your company.

- **Private One-on-One Consulting:** Business owners, management teams, and entrepreneurs who require private, personal advice and consulting can customize time with me. Private Consulting can range from half to full days, to monthly or quarterly

sessions spread out over six to twelve months. Having access to a private adviser is an exceptionally powerful way to leverage your time and your results.

If you're done wasting time and money lurching from shiny pennies to magic bullets to fast-buck schemes, if you know there is a gap in your skills and tools, if you are committed to doing what it takes to achieve the results you desire and deserve, and if you are serious about reaching your full potential and breaking through as a business owner, I want to encourage you to:

 Invest in yourself, which is the key to growth.

 Learn the critical distinctions so you can create better choices, which is the key to a better life.

 Do whatever it takes to create excellence, mastery, and contribution, which are the keys to fulfillment.

Please contact us either through email or our websites. If you're looking for answers, I can help.

info@KeystotheVault.com
www.KeystotheVault.com
www.CFOScoreboard.com
512-231-9944

A MESSAGE FROM KEITH

“How do I get big so I can get rich?” This one question is the silent saboteur of small businesses.

A better question would be: *“What did the big guys do that caused the Profits and Cash Flow that allowed them to get big?”*

The answer is not just one thing. Business is complex and anyone who says it isn't is either stupid or is trying to sell you their flavor-of-the-month Kool-Aid.

Business owners struggle financially because they are too busy “growing and operating” the business and not running the business-end of the business. It's not that they don't want to . . . it's that no one ever taught them how.

As Warren Buffett said, *“If you can't read the scoreboard, you don't know the score. If you don't know the score, you can't tell the winners from the losers.”*

Always remember this: You cannot create and sustain business success without business skills and tools. When you learn the tools that work, you get the results that are possible.

Here it is on a bumper sticker:

GREAT OPERATORS GET TIRED.
GREAT BUSINESS OWNERS GET RICH!

KEYSTO~~THE~~THE VAULT

WWW.KEYSTOTHEVAULT.COM

WWW.CFOSCOREBOARD.COM